

To

**All Foreign Institutional Investors and
Custodians of Securities**

Dear Sir / Madam,

Sub: Issuance of Derivative Instruments by Registered Foreign Institutional Investors (FII).

It has come to the notice of SEBI that some FIIs are issuing derivative/financial instruments against underlying Indian securities. These instruments are known by various names such as Participatory Notes, Equity-Linked Notes, Capped Return Notes, Participating Return Notes etc. With a view to monitoring the investment by FIIs through these derivative / financial instruments, it has been decided that FIIs may report issuance / renewal / cancellation / redemption of the aforesaid instruments to SEBI with immediate effect as per the format enclosed as Annexure.

It is further advised that this report shall be submitted by only those FIIs which issue such instruments. Further, these reports are to be submitted only on issuance / renewal / cancellation / redemption of the aforesaid instruments and only for the month during which the FII has issued / renewed / cancelled / redeemed the aforesaid instruments. It is clarified that FIIs that have not issued such instruments or have no transactions during the month in respect of such derivative instruments are not required to submit a report to SEBI.

The FIIs, are requested to submit these reports on a monthly basis within a week of the end of the month, duly signed / approved by the compliance officer.

The reports may be submitted by email (email id : fittc@sebi.gov.in) or by fax (91-22- 284 5776).

These instructions are issued under regulation 20 of SEBI (Foreign Institutional Investors) Regulations, 1995 and shall come in force with effect from the month of October 2001.

A copy of the circular is available at the web page "Foreign Institutional Investors" on our website www.sebi.gov.in . The custodians are requested to bring the contents of this circular to the notice of their FII clients.

Yours faithfully,

P. GUPTA
General Manager
FITTC DEPARTMENT
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FAX NO: 91 22 2845776

Encl. : Annexure

Annexure to Circular no. FITTC/14/2001 dated October 31, 2001

REPORT ON FOREIGN DERIVATIVE INSTRUMENTS ISSUED BY FOREIGN INSTITUTIONAL INVESTORS/SUB-ACCOUNT

Report No._____ for the month of_____											
FII NAME											
FII REGISTRATION NO.											
SUB ACCOUNT NAME											
(if applicable)											
SUB-ACCOUNT CODE											
(if applicable)											
A	B	C	D	E	F	G	H	I	J		
Name / type of instrument issued	Name of Indian company	Nature of underlying securities	Name and nationality / place of incorporation of the investor*	Issue Date	Face Value	Maturity Date	Maturity Value	Number / Quantity of Derivative Instruments	Quantity underlying Indian securities*		
								opening balance	issued / renewed	redeemed / canceled	closing balance
Date :				Signature and name of compliance officer							
				Name of FII							

* These details should be provided in respect of the closing balances of the derivative instruments

EXPLANATORY NOTES TO REPORT ON FOREIGN DERIVATIVE INSTRUMENTS ISSUED BY FOREIGN INSTITUTIONAL INVESTORS / SUB ACCOUNTS

	ITEM	EXPLANATION
	Report No.	A running serial number is to be given (1,2,3,.....)
	FII Name	
	FII Regn. No.	As mentioned in registration certificate issued by SEBI.
	Sub-Account Name (if applicable)	Name of the Sub-Account as mentioned in SEBI registration/renewal letter
	Sub-Account Code	Sub-Account Code as mentioned in SEBI registration/renewal letter
A	Name/type of instrument issued	Name / type of derivative instrument issued - as given by the issuer FII.
B	Name of Indian company	Name of Indian company/companies against whose securities the instrument is issued.
C	Nature of underlying securities	Nature of underlying securities whether equity/ debt/ bond/ derivatives (If possible, ISIN number may also be given)
D	Name and nationality / country of incorporation of the investor	Name and nationality of the investor of the instruments. In case of corporate entities /trusts/funds, etc. the country of incorporation should be mentioned. (These details should be provided in respect of the closing balances of the derivative instruments)
E	Issue Date	Date of issue / renewal of the instrument.
F	Face Value	Face value for which the instrument is issued/renewed (indicate currency also).
G	Maturity Date	Date on which instrument is due for renewal or redemption/cancellation. (if any).
H	Maturity Value	Value on redemption/maturity of instrument (if any).
I	Number / quantity of instrument	Number of instruments/units covered under the transaction. a. Issue of new instrument b. Renewal of instrument already issued c. Redemption/cancellation of instrument.
J	Quantity of underlying Indian securities	Total number of securities of Indian company/companies against which the instrument is issued. (These details should be provided in respect of the closing balances of the derivative instruments)